

HOW IT WORKS: A BAD BUDGET

Trinity has finished college and has secured a solid job in nursing, where she makes \$85,000 a year. After taxes, Trinity takes home about \$4,980 a month. Go, Trinity. Despite her impressive starting salary, and despite thinking she is being frugal, Trinity is always complaining about not having enough money. Let's take a look at Table 4.3 to see where she may be making some mistakes.

Table 4.3. Trinity's bad budget

Monthly take-home pay after taxes	\$4,980
Rent (lives in an apartment by herself)	\$2,100
Transportation	\$750
Food	\$600
Utilities	\$100
Entertainment	\$450
Miscellaneous	\$500
Savings/retirement	\$100
Gym membership	\$180
Student debt (paying the minimum)	\$200

Trinity has made the most common budgeting mistake by spending too much on housing, transportation, and food. Her \$2,100 rent bill requires 42% of her entire monthly take-home pay. I don't care how "dope" her apartment is, she needs to move or find a roommate. It's not a good practice to spend more than 30% of your income on housing, so Trinity should be looking for a place that is \$1,500 a month max—which in many cities means